

FEDERAL MARITIME COMMISSION
Office of Administrative Law Judges

USL AUTO EXPORTING INC., *Complainant*

v.

EASY SHIPPING CORPORATION, *Respondent*.

DOCKET NO. 23-13

Served: January 8, 2025

ORDER OF: Mary A. HERVEY, *Administrative Law Judge*.

ORDER TO SHOW CAUSE

This matter came on for consideration, *sua sponte*, upon a determination that Respondent failed to respond to Complainant's Renewed Motion for Summary Judgment filed March 25, 2024, and failed to file a brief, proposed findings of fact, appendix, and response to proposed findings of fact in accordance with the Scheduling Order served March 18, 2024. For the reasons set forth below, Respondent is directed to show cause by January 24, 2025, why default judgment should not be entered against it due to its failure to respond to the renewed motion for summary judgment and why default should not be entered against it for failure to file the documents required by the scheduling order.

The Scheduling Order served March 18, 2024, directed Respondent to file a brief, proposed findings of fact, appendix, and response to proposed findings of fact by July 24, 2024. A review of the record shows that Respondent has not filed any of these documents despite that its failure to adhere to scheduling deadlines has been addressed in prior orders issued in this proceeding. In the January 29, 2024, Order Granting Motion for Judicial Assistance and Setting Deadlines, Judge Chintella determined that Respondent had failed to file the joint status report due January 5, 2024, and had not filed the response to Complainant's motion for summary judgment due January 22, 2024. In addressing these deficiencies, Judge Chintella established new deadlines and stated: "Commission Rule 65 provides that a party may be deemed in default if the party fails to 'answer, to respond to a dispositive motion within the time provided, or otherwise to defend the proceeding.' 46 C.F.R. § 502.65(a)(2)." Judge Chintella also issued the following warning: "Easy Shipping's failure to abide by these deadlines may result in entry of default judgment against Easy Shipping without further notice."

Despite this explicit warning, Respondent's noncompliance continued. On May 24, 2024, Judge Chintella found that Respondent had failed to respond to discovery or Complainant's motion to compel and that the failure was "part of a pattern of failure to defend the proceeding." The order noted that that Respondent had not responded to Complainant's renewed motion for summary judgment despite the earlier order warning that sanctions may result from any further

failure to comply with Commission rules or Judge Chintella's orders. The order made clear that further non-compliance could result in the imposition of sanctions. In this regard, the order stated: "On March 13, 2024, I held a status conference where I advised both parties of the need to familiarize themselves with the Commission's rules and the initial order. At that conference, I advised the parties again that 'any further failure to comply with Commission rules or my orders may result in adverse inferences, default, or dismissal.' See Memorandum Order Denying Complainant's Motion for Default Judgment (Mar. 18, 2024)." Order to Show Cause and Denying Motion to Compel Without Prejudice at 2.

As noted by Judge Chintella in prior orders, 46 U.S.C. § 502.65(a)(2) provides that a party to a proceeding may be deemed to be in default if that party fails to respond to a dispositive motion within the time provided. Pursuant to 46 U.S.C. § 502.70(b), a response to a dispositive motion is due 15 days after service of the motion. Thus, Respondent's response to Complainant's renewed summary judgment motion served March 25, 2024, was due April 9, 2024. A review of the record shows that no response has been filed.

Additionally, Fed. R. Civ. P. 16(f)(1)(C), applicable to this proceeding pursuant to 46 U.S.C. § 502.12, provides that a court may impose sanctions authorized by Rule 37(b)(2)(A)(ii)-(vii) if a party fails to obey a scheduling or other pretrial order. Pursuant to Rule 37(b)(2)(A)(vi), the authorized sanctions include rendering a default judgment against a disobedient party. Thus, default judgment is an appropriate sanction to impose against Respondent for its failure to comply with the deadlines in the March 18, 2024, scheduling order. Given the numerous orders warning Respondent of the severe sanctions that may be imposed if it continues to ignore Commission rules and Judge Chintella's orders, entry of a dispositive sanction is appropriate absent good cause for non-compliance.

For the foregoing reasons, it is hereby **ORDERED** that Respondent Easy Shipping Corporation shall show cause by **January 24, 2025**, why a default shall not be entered against it for failure to respond to Complainant's Renewed Motion for Summary Judgment, and why default judgment shall not be entered against it for failure to file its brief, findings of fact, appendix, and response to findings of fact in accordance with the Scheduling Order served March 18, 2024.

Mary A. Hervey -S Digitally signed by Mary A.
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Date: 2025.01.08 12:40:37 -05'00'

Mary Apostolakos Hervey
Administrative Law Judge